The Canadian Investment Marketplace

CHAPTER 1: The Capital Market



General Discussion

- Why do people invest? What motivates them to do so?
  - Builds funds for future use
  - Maintain purchasing power
- What is ‘investing’?
  - To commit money in order to earn a financial return

General Discussion

- What products are available to investors to meet their financial goals?
- What are some of their features?
- Where do these products trade?

The Role of Capital Markets

“To bring together suppliers and users of funds.”

Characteristics of Capital

Why do we say that capital is:

- Mobile
- Sensitive
- Scarce

Sources of Capital

“The only source of capital is savings.”

What are the implications of this for the economy and for the operation of financial markets?

Main Sources of Investment Capital

Individuals through savings → Retail Investor

Individuals through savings → Institutional Investor

Foreign Direct Investment

Main Users of Investment Capital

- Individuals
- Businesses

All levels of Government:

- Federal
- Provincial
- Municipal

Financial Instruments

- Debt
- Equity
- Investment Funds
- Derivatives
- Other Financial Instruments – e.g. exchange-traded funds (ETFs)

Private Equity

- Includes both debt and equity
- Venture capital

Financial Markets

Categories:

By Product/Instrument

- Money market
- Stock market(s)
- Bond market(s)
- Etc.

By “Distribution”

- Primary
- Secondary

Financial Markets

By Method of Operation

- Auction markets
- Dealer markets

By Longevity

- Short – Money
- Long – Capital

Primary and Secondary Markets

Questions:

- What are the main features of the primary and secondary markets?
- How do these two markets differ?

Primary and Secondary Markets

Primary Markets:

- Deals with the issue of **new** securities.
- Funds flow to the issuer.

Secondary Market:

- Deals with already **existing** and **issued** securities.
- Trading occurs between investors, not the company.

The Markets

Money Market

- Any debt maturing within one year, regardless of when issued
- Treasury bills, Bonds with < 1yr maturity, Bankers' Acceptances
- Debt instruments only

Capital Markets

- Longer term securities (stocks, bonds > 1 yr)
- Conducted through **dealer** markets (OTC) and **auction** markets (exchanges)

Auction and Dealer Markets

- The auction and dealer markets are the two main ‘types’ of markets.

Discussion:

- What are the main features of each?
- How are they alike and how do they differ?

Auction Markets

- Toronto Stock Exchange (TSX)
- TSX Venture Exchange (TSX V)
- Canadian National Stock Exchange (CNSX)
- The orders of individual buyers and sellers are entered to determine prices
- Prices are established according to supply and demand forces
- Form of competitive bidding

Auction Markets

Exchanges:

- Define membership conditions
- Control listing and trading of companies

Dealer Markets

- Also called over-the-counter (OTC) market or the unlisted market
- A negotiated market where a network of dealers trade with each other
- Dealers post bid and ask prices (Bid $1.50/Ask $1.60)
- Profit is made on the spread
- Bonds are sold on dealer markets

Stock Market Criteria

What are the criteria for a stock exchange to function efficiently?

1. Low transaction costs
2. Liquidity
3. Timely and accurate information on price and volume
4. Consumer protection

A Liquid Market

Liquidity is fundamental to the operation of a stock exchange.

Liquidity is characterized by:

- Frequent sales
- Narrow price spreads
- Small price fluctuations